

INTR pitch deck

PITCH — INTR — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY (FLAT). Inter & Co's credit deterioration is real and still arriving, the -50% drawdown is company-specific rather than a Brazil-wide selloff, and at ~1.16x book the stock is fairly priced for a 16% ROE bank — not distressed. Reopen only on the 3Q26 flip-test or at ~1.0x book with credit stabilizing.

What we believe

Inter & Co (NYSE: INTR), the Brazilian digital bank, has fallen from a 52-week high of \$10.36 to \$5.19 — down 49.9%, sitting 3% above its 52-week low — and the fall is deserved, not a dislocation. Every credit metric in the company's own vetted 2Q26 filings is deteriorating year-over-year:

- Early-stage delinquency (loans 15–90 days late, total book): 4.1% → 4.8% (+70bps YoY)
- Late-stage delinquency (90+ days): 4.6% → 5.3% (+70bps YoY)
- Cost of risk (annualized provisioning rate): 5.0% → 5.9%
- Provision coverage of bad loans: 143% → 134% (peaked at 146% in 3Q25 — a steady three-quarter glide down, not a one-quarter collapse)

The single largest driver is the new private-sector payroll loan product (“Crédito do Trabalhador”), which grew from R\$0.7bn to R\$2.8bn in a year and accounts for 53 of the 70 basis points of the yearly rise in 90+ delinquency — meaning the rest of the book deteriorated only ~17bps, which is genuinely contained. But that new book is young, still seasoning, and management's spoken (not printed) guidance implies cost of risk keeps rising toward ~6% for the year. This is damage still arriving, not damage fully in the rearview. We classify it as not worth deploying capital into now, and not close enough to a decision point to convene a full position debate (court-worthiness 5/10).

What the market believes

The market has already re-rated INTR as having a company-specific credit problem. Actual Brazilian bank peers are down far less from their highs — Itaú (ITUB) is ~23% off its high, Nubank (NU) ~20% off — so INTR's ~50% drawdown carries roughly 27–30 percentage points of excess, idiosyncratic decline. At \$5.19, the stock trades at ~1.16x book value (equity ≈ R\$10.3bn implied by R\$421m quarterly profit at 16.3% ROE; market cap \$2.29bn × 5.21 BRL/USD ≈ R\$11.9bn). With Brazilian cost of equity around 15.5–17% (priced off the falling forward rate curve — the central bank is four cuts into an easing cycle from 14%), the justified multiple for a 16% ROE bank is roughly 0.9–1.15x book. In plain terms: the market has priced this correctly. It is not pricing a death spiral, and it is not offering a bargain. Ten analysts cover the name, so “overlooked” is not an available argument.

Why we might have edge

Modest, and mostly forward-looking rather than present:

1. We have a pinned, vetted-numbers flip-test the market narrative doesn't articulate.

Because both benches reconciled every series to the actual SEC-filed exhibits (not transcripts or aggregators), we know exactly which numbers on the 3Q26 print would mean the credit cycle is turning: total 15–90 delinquency $\leq 4.8\%$ AND cost of risk $\leq 6.0\%$ AND coverage $\geq 134\%$ AND ROE $\geq 16\%$ flips us toward “damage absent”; 15–90 above 5.0% with coverage below 130% confirms the bear.

2. The payroll attribution is a real analytical wedge. The filed earnings release states the new payroll product accounts for 53bps of the 70bps yearly rise in 90+ delinquency. If Brazil's central bank monthly credit data shows that payroll vintage curve flattening, the core book (~17bps/yr deterioration) is fine and the stock at ~1.1x book becomes interesting before the print — a leading indicator most price-watchers won't be tracking.

3. We know what we don't know. The falling coverage ratio may be partly mechanical: the loan book is mixing toward collateralized and insured products (payroll, FGTS-backed, home equity), which requires less provisioning under accounting rules. If a product-level decomposition shows required coverage stable, the scariest-looking metric loses its teeth.

Why it might be priced in

Honestly, it largely is — that's the verdict. The de-rating to ~1.16x book against a justified band of 0.9–1.15x means the market has already done the arithmetic we did. Ten analysts cover the stock. The credit deterioration was disclosed by the company itself in its own earnings materials — there is no hidden fact here, only a disagreement about trajectory, and our own numbers say the trajectory is still worsening. Both benches converged on the same conclusion from opposite directions: the bear case is correct but already reflected, and the bull case (“it's just sector beta”) is refuted by the peer tape. Buying here means betting the credit cycle turns before the market sees it — a bet we currently have no evidence for.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Coverage fell 9pp in one quarter (143%→134%)	Both SEC-filed 2Q26 exhibits fetched directly (presentation , release)	Original thesis mislabeled the quarter. 143% was 2Q25, not 1Q26. Actual path: 143→146→141→137→134. QoQ drop is 3pp, not 9pp	REFUTED as dated; direction confirmed

Claim	How checked	Found	Confirmed?
Early delinquency (15–90d) 4.3%→4.8% YoY	Red bench cross-read both exhibits; blue bench re-read independently	Both the thesis AND red bench erred. Thesis had the wrong base (2Q25 was 4.1%, not 4.3% — deterioration is worse than claimed). Red bench then tried to re-anchor the tripwire to 4.5% — but that’s the ex-credit-card sub-series; the headline total series really does end at 4.8%. Red’s proposed fix would have moved our tripwire onto the wrong basis	CONFIRMED at 4.1→4.8 (total); red’s re-anchor OVERTURNED
Late delinquency (90+) 4.4%→5.0/5.1%	Blue bench audit — red never checked this series	Thesis wrong on both ends, in the lenient direction. Vetted: 4.6%→5.3%. Worse than we thought	REFUTED; corrected figure strengthens the bear
FY26 cost-of-risk guided to ~6%	Searched both filed exhibits for the guidance	Appears nowhere in the filed documents — spoken on the call only. The company declining to print it is itself information	UNVERIFIED on filed venue
Peers down similarly (sector selloff)	Peer tape pulled for ITUB and NU	Red bench’s own numbers were wrong here too (quoted ITUB –10%, NU stable; actual: ITUB –23%, NU –20% off highs). But the conclusion survives: INTR’s excess drawdown is ~27–30pp — idiosyncratic	Red’s figures REFUTED; conclusion CONFIRMED
Falling coverage = unbooked provisions coming	Neither bench decomposed coverage by product	Book is mixing toward collateralized/insured loans, which mechanically lowers required coverage. Could be composition, not under-provisioning	UNRESOLVED — open gap
Valuation ~1.2–1.3x book, fair ≤1.0x	Re-derived from filed profit (R\$421m) and ROE (16.3%)	~ 1.16x book; justified band 0.9–1.15x with cost of equity off the falling forward curve	CONFIRMED with corrections; “fair, not cheap”
Payroll product drives the deterioration	Filed release NPL bridge	Confirmed verbatim: 53bps of the 70bps yearly 90+ increase; R\$0.7bn→R\$2.8bn growth	CONFIRMED
Clean capital structure	Share count, filing inventory, lockup check	441.5m shares, no follow-on on file, 2022 lockups expired; dual-class A/B and the SoftBank stake noted but not load-bearing	CONFIRMED
Live price \$5.19	IBKR live quote denied to both benches	Working from the evidence-pack tape (built 2026-08-16 04:08Z), cross-checked against 08-14 closes	COVERAGE GAP — refresh before any order

PROPOSED ENTRY BANDS

The courts say **no entry**. Reopen conditions, from the benches’ own math (book value per share ≈ R\$23.3 ≈ **\$4.48** at 5.21 BRL/USD):

- **Reopen band 1 — credit turns first:** if the 3Q26 print (expected ~2026-11-04, unconfirmed) passes the full flip-test — total 15–90 delinquency ≤4.8%, cost of risk ≤6.0%, coverage ≥134%,

ROE $\geq 16\%$ — the name reopens for a starter at any price up to ~\$5.15 (1.15x book, top of the justified band).

- **Reopen band 2 — price falls into distress territory without credit confirming distress:** below ~\$4.50 (1.0x book), reopen for review; below ~\$4.05 (0.9x book, bottom of justified band) with coverage still $\geq 134\%$, review with urgency — that price implies distress the filed numbers don't yet show. This is a review trigger, not an auto-buy: for a damage-arriving name, price weakness alone can mean the thesis got worse, not cheaper (the same self-trigger mechanism that got CLSK/WYFI bare price gates disarmed).
- **Bear-confirmed / walk away:** 3Q26 total 15–90 above 5.0% with coverage below 130% — close the file regardless of price.
- **Early (pre-print) indicator:** Brazil central bank monthly credit statistics on Crédito do Trabalhador delinquency — a flattening payroll vintage curve is permission to do the work before November.
- **Sizing if reopened:** starter-size only; the calendar risk (Brazil presidential election Oct 4, runoff Oct 25 — a macro event we cannot underwrite) caps this at a small position until post-election.
- **Catalyst dates:** 2026-10-04 and 2026-10-25 (Brazil election rounds, date-certain); ~2026-11-04 3Q26 print (derived, no company PR confirms it).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.5 (deck-provisional: 1.0x 2Q26 book (R\$23.3/sh at 5.21 BRL) — REVIEW-ONLY trigger, not entry; damage-arriving name, price w)
- filing watch: 6-K until 2027-02-11 (deck-provisional: 3Q26 earnings 6-K carries the flip-test: 15-90 $\leq 4.8\%$ AND CoR $\leq 6.0\%$ AND coverage $\geq 134\%$ AND ROE $\geq 16\%$)
- dated pack INTR|2026-10-04: INTR: Brazil presidential election round 1 (macro overhang, caps any reopened size) (date confirmed=True)
- dated pack INTR|2026-10-25: INTR: Brazil presidential election runoff (date confirmed=True)
- dated pack INTR|2026-11-04: INTR: 3Q26 print carrying the flip-test metrics (vendor-derived date, no company PR) (date confirmed=False)

What remains unverified

1. **Live tape.** IBKR was denied to both benches; \$5.19 is the pack price, not a live quote. Standing rule: pull live before any order.
2. **The coverage-mix decomposition** — the single most load-bearing open question. Until product-level required coverage is decomposed (20-F / Brazil central bank SCR data), we cannot distinguish “under-provisioning” from “mechanical mix shift,” and the thesis’s scariest claim stays plausible-only.

3. **FY26 cost-of-risk guidance (~6%)** exists only in the spoken venue; no filed document prints it.
4. **The print date 2026-11-04** is derived from a data vendor; no company announcement confirms it.
5. **Brazil central bank product-level delinquency data** (the FDIC-equivalent for this jurisdiction) was never fetched — the payroll vintage curve is asserted from company disclosure only.
6. **Dual-class structure and the SoftBank 13G/A stake** were noted but not examined; judged not load-bearing, not proven so.

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